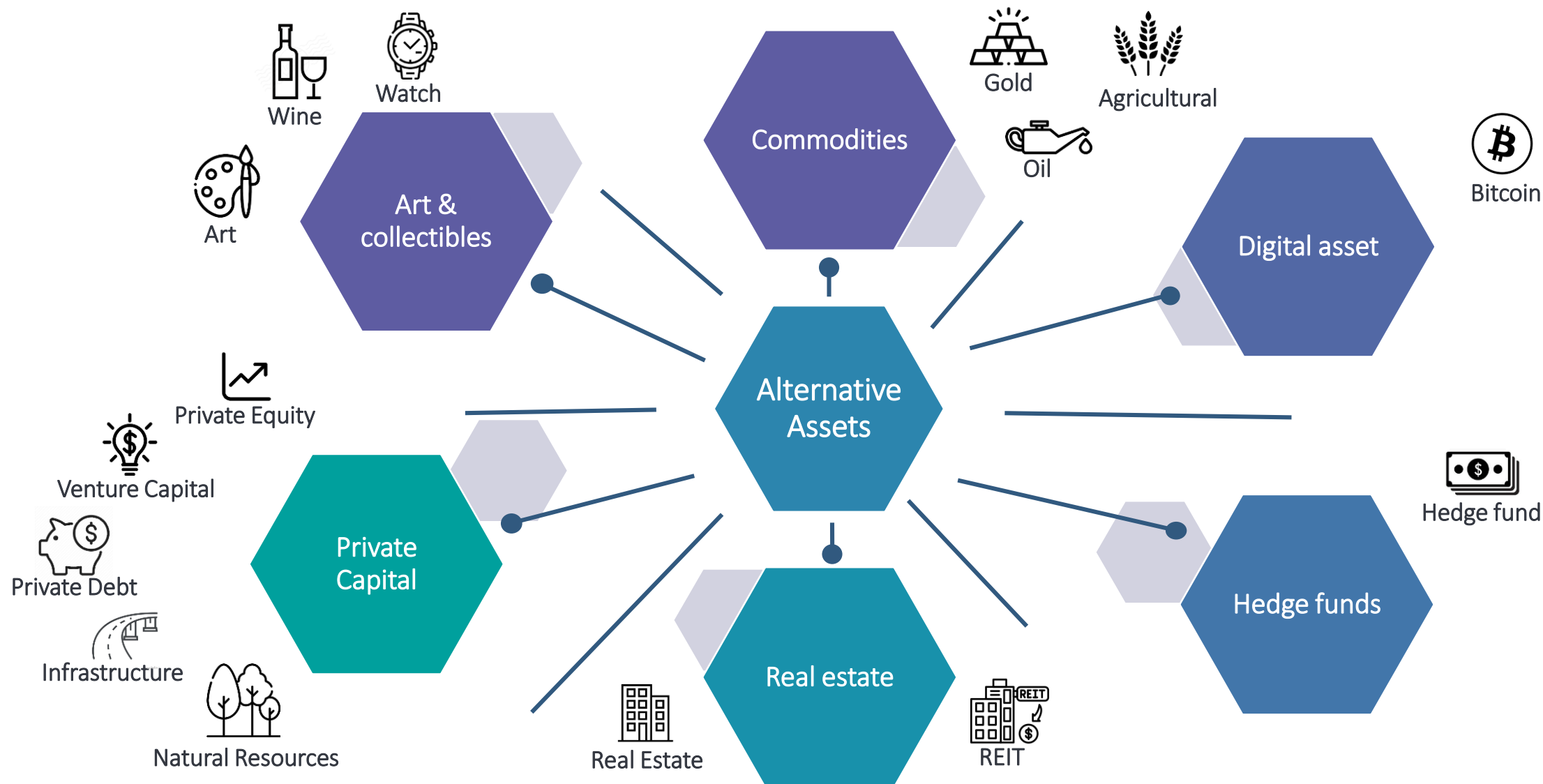




Alternative Investments

CUVI x KAsset Investment Boot Camp

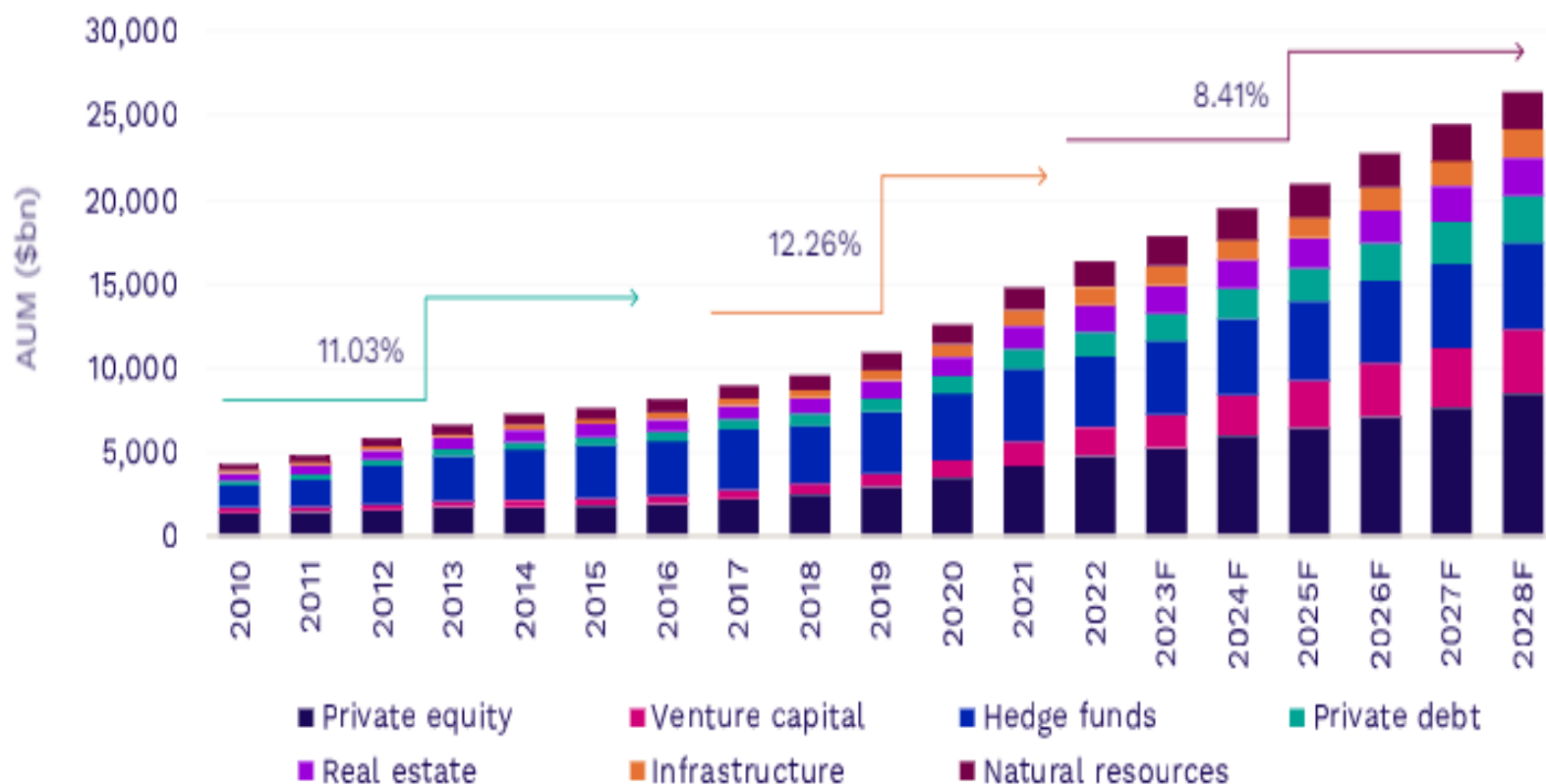
What are Alternative Assets?



The Growth of Alternative Assets

- The industry has been growing more than 4x over the last 15 years.
- More accessible to wider group of investors.
- Alternatives as a part of portfolio have been growing from 6% in 2004 to 15% in 2023.

Alternative AUM* by asset class, 2010-2028F



Source: CAIA Association, data as of Dec 2023

Source: Preqin *AUM figures exclude funds denominated in Yuan Renminbi

Common Characteristics of Alternative Assets

Liquidity



Less Liquid and may be hard to sell in a hurry

Regulation



Less regulated and may result in lack of transparency

Complexity



More complex with strategy and structure hard to understand

Fee



Often associated with higher fees and transaction costs

Diversification Benefit from Low Correlation

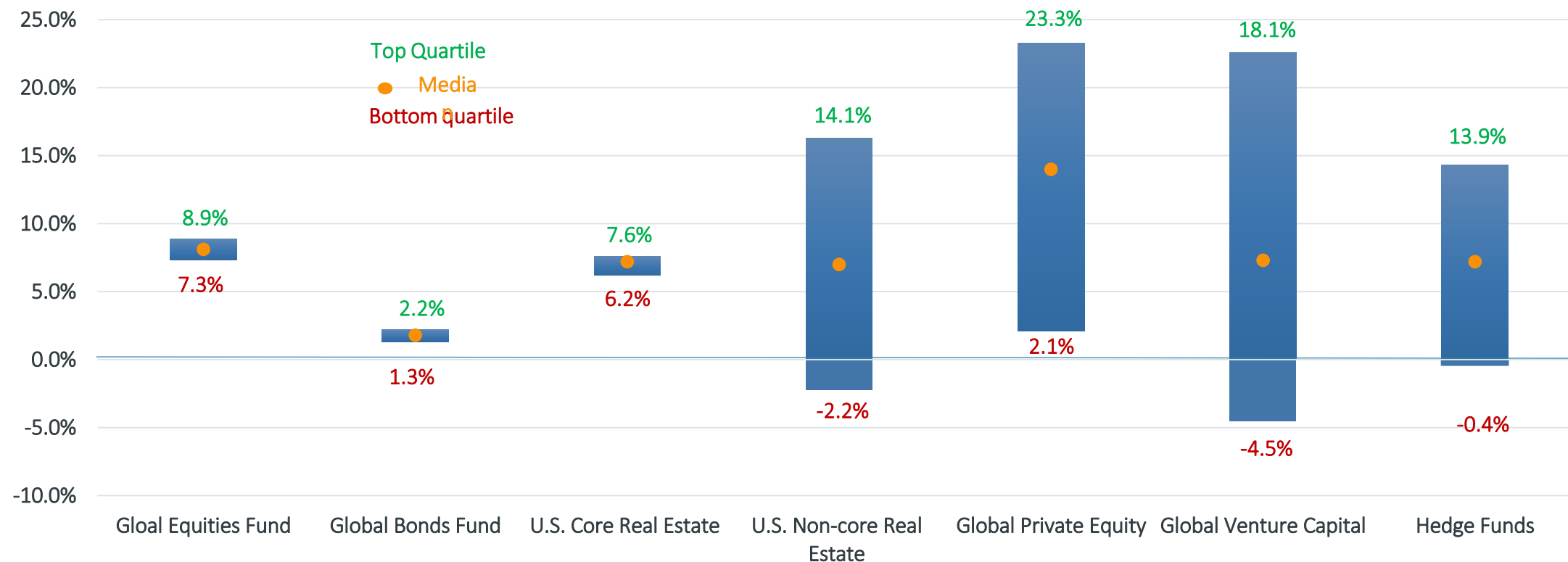
Security	Global Equity	Global Bond	Private Equity	Private Debt	Private Real Estate	Hedge Fund	Bitcoin	Gold	Oil
Global Equity	1.00								
Global Bond	0.48	1.00							
Private Equity	0.86	0.42	1.00						
Private Debt	-0.23	-0.65	0.07	1.00					
Private Real Estate	0.48	0.51	0.43	-0.46	1.00				
Hedge Fund	0.88	0.68	0.49	-0.58	0.79	1.00			
Bitcoin	0.30	0.19	0.40	-0.40	0.33	0.38	1.00		
Gold	0.31	0.55	0.53	-0.39	0.57	0.34	0.13	1.00	
Oil	0.19	0.04	-0.66	0.71	-0.72	0.23	0.03	0.16	1.00

Low correlation  High correlation

Opportunity for Return Enhancement

Public and Private Manager Return Dispersion

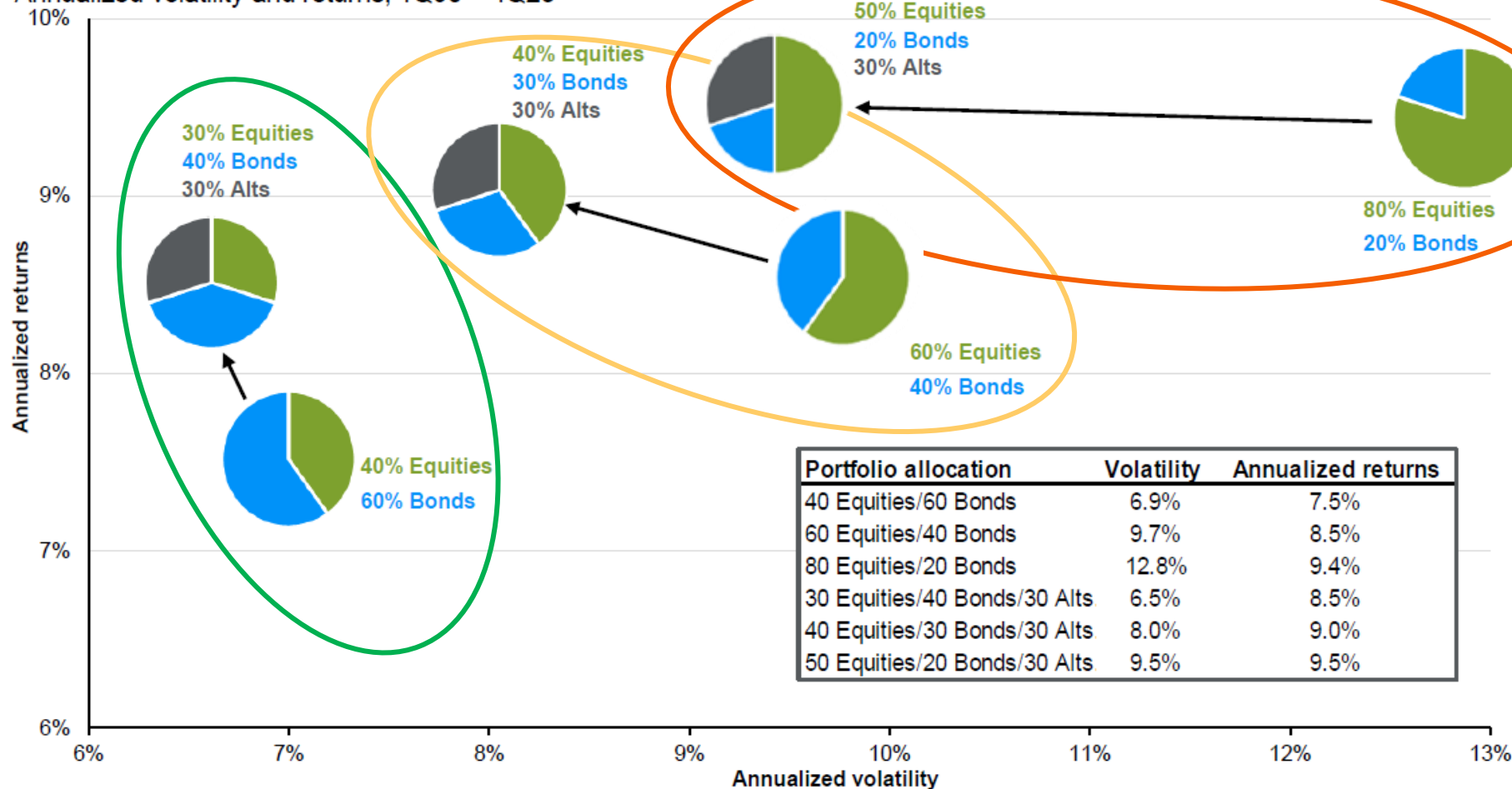
Base on Returns over 10-year window



Risk/Return with Alternatives in Portfolio

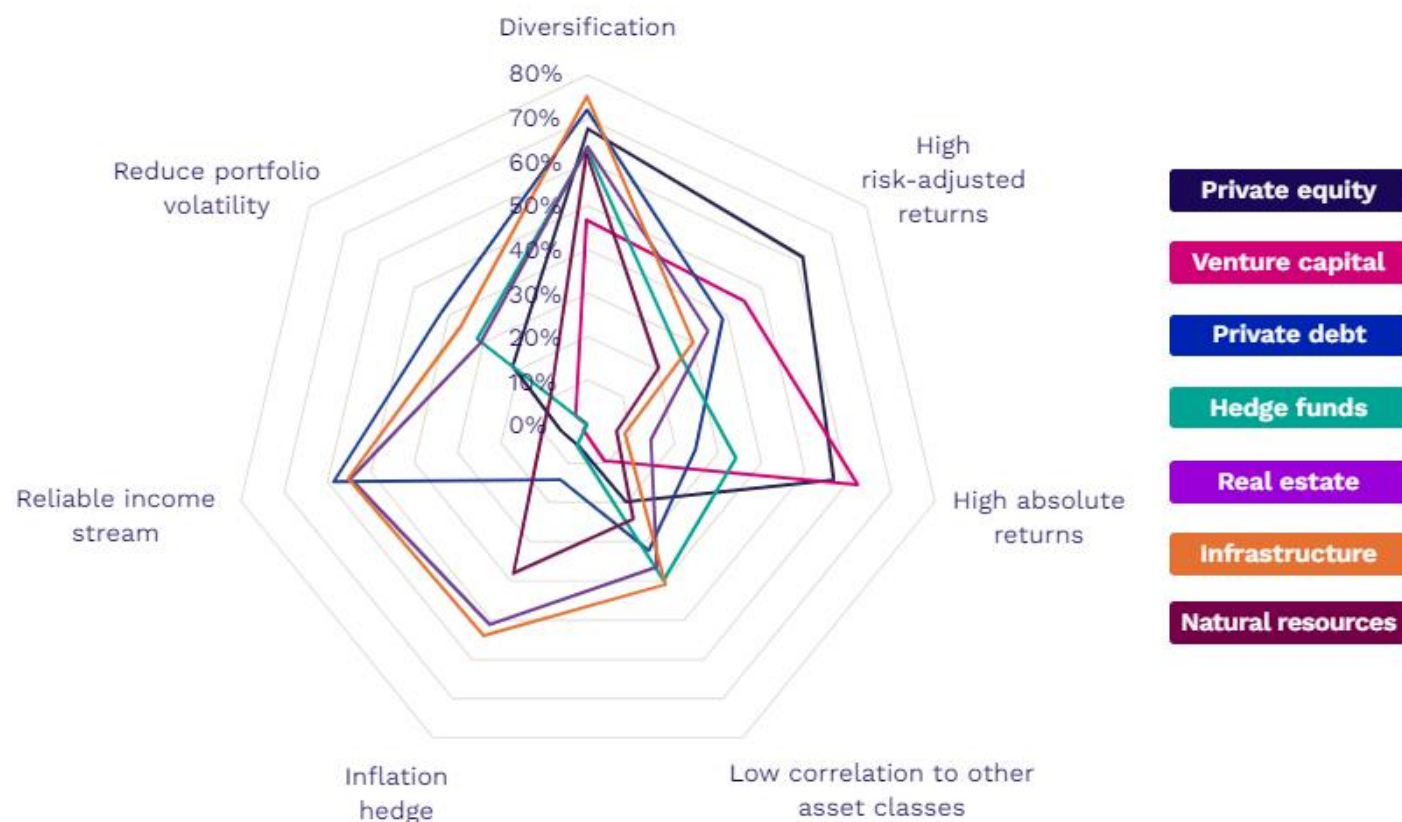
Alternatives and portfolio risk/return

Annualized volatility and returns, 1Q90 – 4Q23

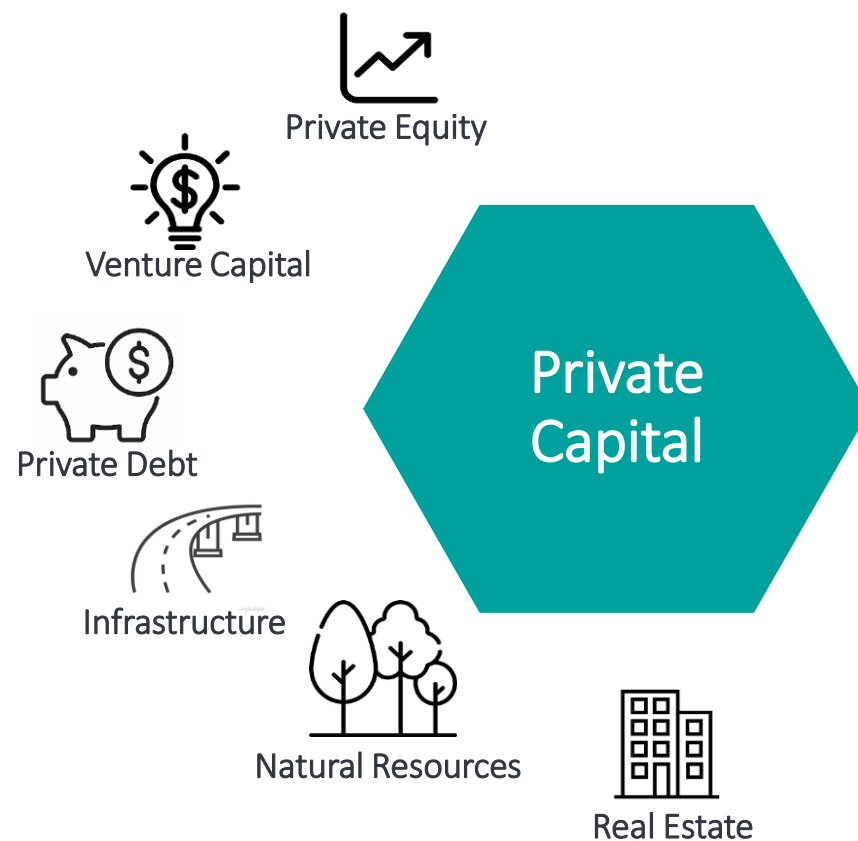


Why is it Appealing to Investors?

Institutional investors' main reasons for investing in alternative assets



Let's Focus on Private Capital

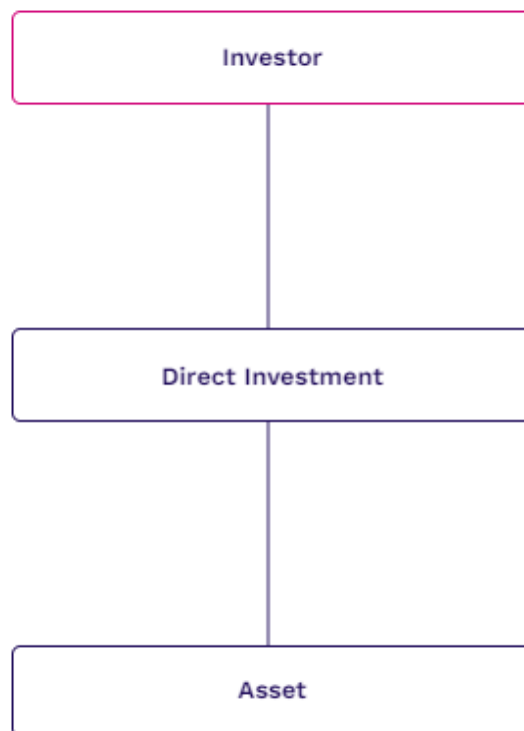


How Can we Participate in Private Investment?

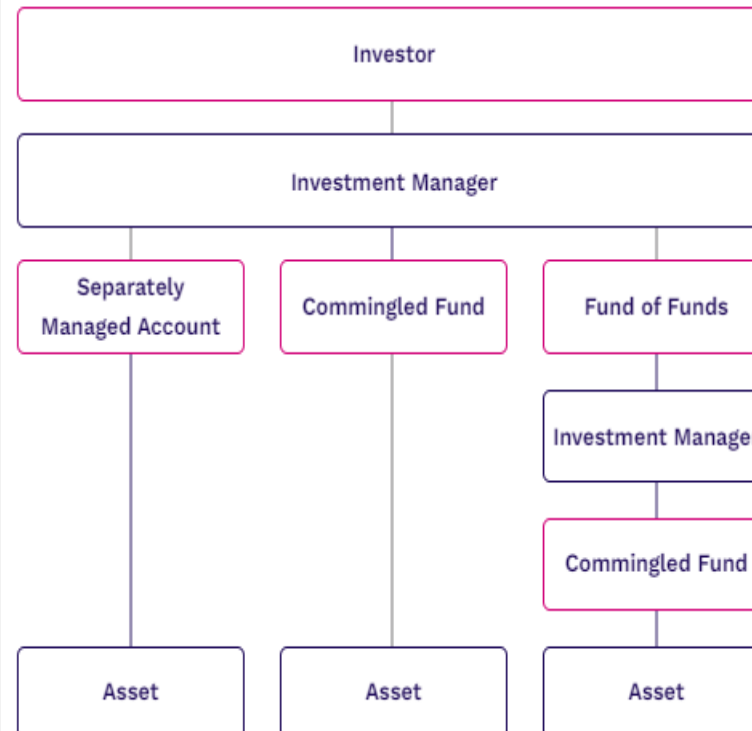
Direct Investment

- Not available to all investors
- Limited diversification
- Greater control of decision making

Invest Directly



Invest through Fund



Commingles/Separately managed

- Management expertise
- Higher level of transparency and customization for separately managed

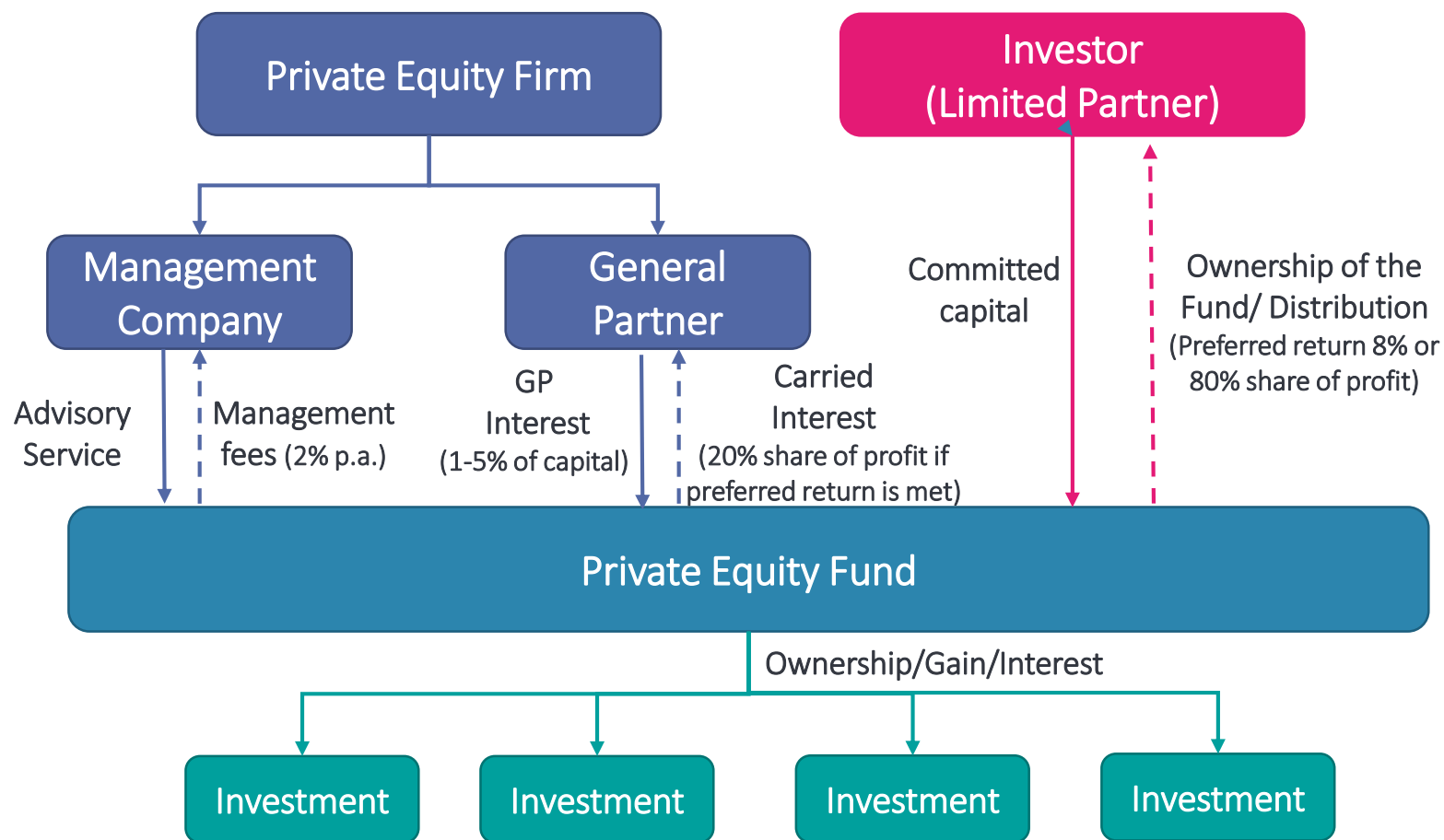
Fund of funds

- Higher level of diversification
- Access to tops managers
- Higher fee
- Lack of transparency

More Concentrate

More Diversification

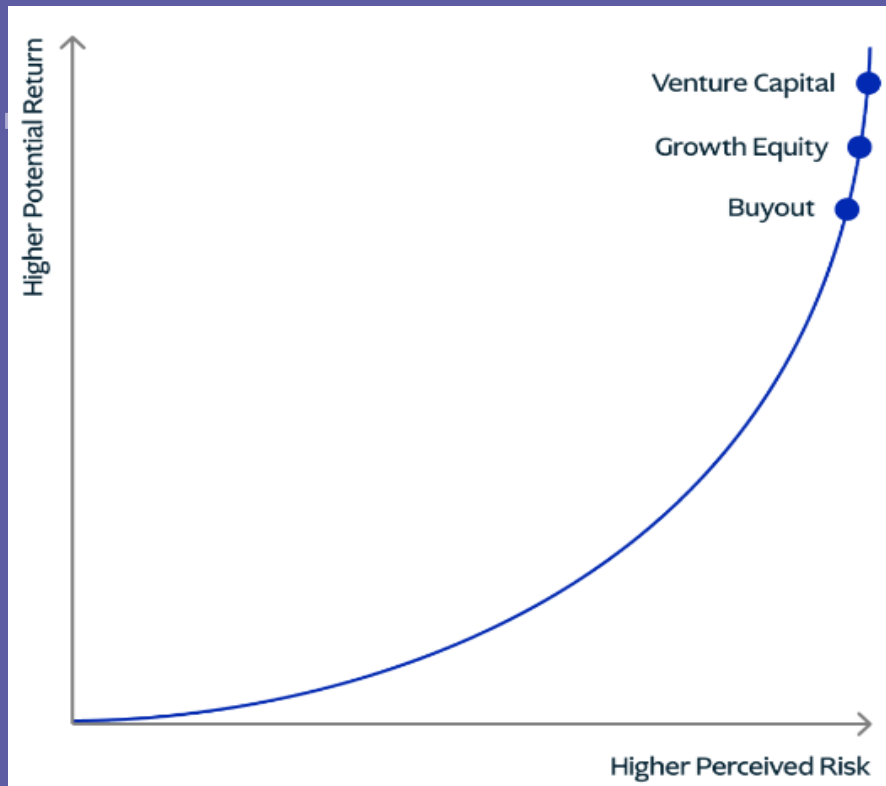
Structure of Fund Investment





Core Stages in the Life Cycle of the Fund

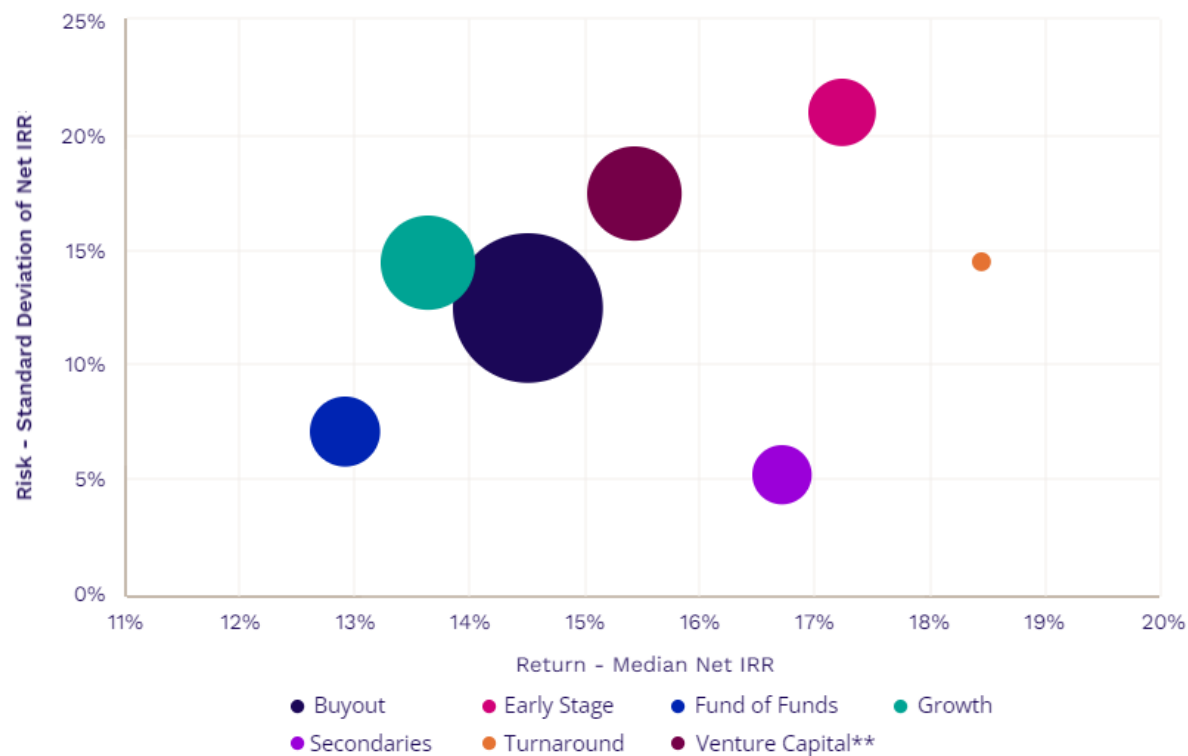
Common Strategies of Private Equity



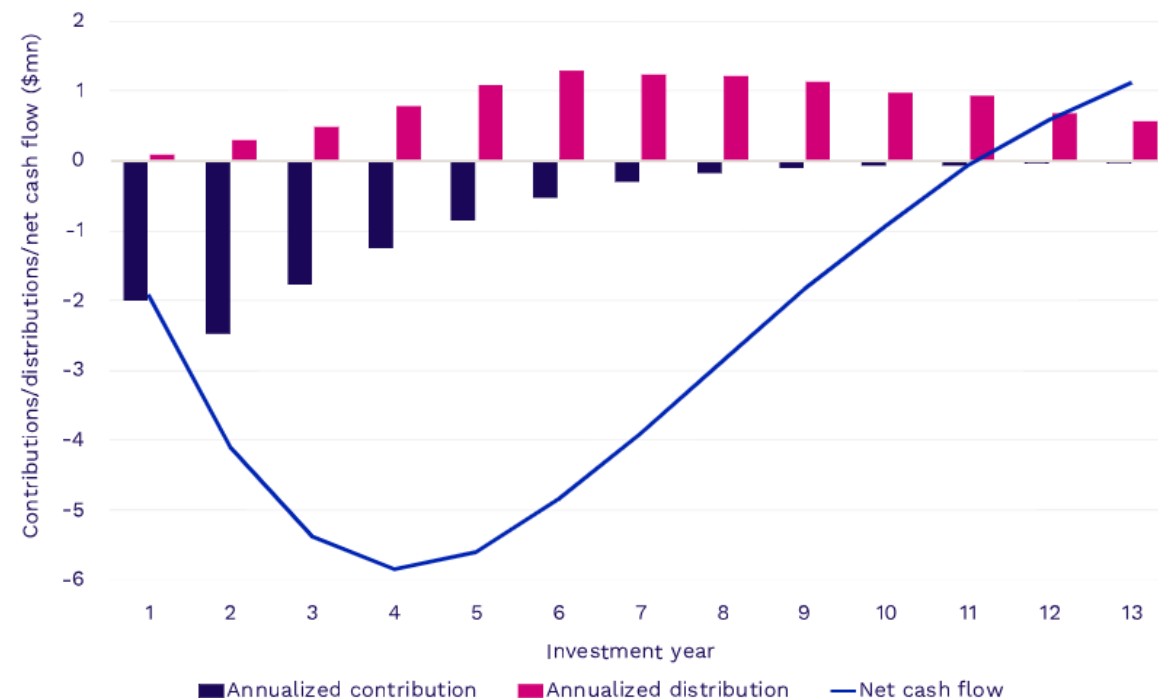
- 1 **Venture capital** - Providing equity start-up capital for early stage ventures
- 2 **Growth capital** - Providing equity capital for later-stage ventures who are looking to scale up their markets or operations
- 3 **Buyouts** - Focusing on acquiring majority stakes in established public companies in order to take them private and restructure them
- 4 **Secondaries** - Specialized fund type that looks to purchase other investors' stakes in private equity funds
- 5 **Fund of Funds** – whose primary activity is investing in other private equity funds

Risk and Return of Private Equity Strategy

Private Equity: Risk/Return by Fund Type (Vintages 2011-2017)*



This model creates an effect known as the 'J-Curve,' seen here.



*The size of each circle represents AUM as of March 2020

**Excluding Early Stage.

Source: Preqin Pro. Most Up-to-Date Data

What to Consider When Investing

Goal of Investment

- Growth / Value / Income / Diversification

Focus of Investment

- Sector / Region

Vintage Year

- To smooth market cycles

Manager Selection

- Specialization / Capability

Valuation and Performance Measurement



- **Internal Rate of Return (IRR)** - The annualized implied discount rate calculated from a series of cash flows.



- **Multiple on Invested Capital (MOIC)** – The value or performance of a private equity investment relative to its initial cost. (Total value of investment/Committed capital)



- **Total Value to Paid-in (TVPI)** – The fund's total value as a multiple of its cost basis. (Distribution + Residual value/paid-in capital)



- **Distributed to Paid-In Capital (DPI)** - The realization multiple, calculated by dividing the cumulative distributions by paid-in capital. (Distribution/paid-in capital)
- **Public Market Equivalent (PME)** - A method that evaluates the return an investor would have obtained if they had invested in public markets instead of a private equity fund.

Appendix

Glossary of Private Equity terms

- **General partner (GP)** –The general partner is managed by the asset management team responsible for making fund investments (i.e., the intermediary between investors with capital and businesses seeking capital to grow).
- **Limited partner (LP)** –An investor in a Limited Partnership, which is a form of legal entity used for certain hedge funds, private equity funds and real estate funds.
- **Capital call** –The amount of capital wired to a fund that is “drawn down” over time as the general partner selects investments.
- **Committed capital** –The specific amount of capital that a limited partner is obliged to provide to a closed-end fund for investments. The capital commitment is “drawn down” or “called” over time, meaning
- **Dry powder** –The amount of capital that has been committed to a private capital fund minus the amount that has been called by the general partner for investment.
- **Hurdle Rate (Preferred Return)** - Also called Hurdle Rate and Preferred Return. Contractually fixed minimum return for investors that must be attained before the fund manager receives distributions of its carried interest.
- **Carried interest** - The capital-disproportionate profit participation of the investment manager in the success of the fund it manages, paid as performance fee-like amounts compensating
- **J-Curve** - Describes the development in stages of a private equity fund’s returns, generating negative results in the initial years due to acquisition costs and initial losses, followed by returns exceeding costs in later years through the disposition of individual investments.
- **Multiple of invested capital (MOIC)** –Calculation performed by adding the remaining (reported) value and the distributions received (cash out) and subsequently dividing that amount by the total capital contributed.
- **Vintage Year** - The year in which a private equity fund first draws down or calls committed capital